

16 February, 2016

**Hon. Maria Pallante, Register of Copyrights
United States Copyright Office
Library of Congress
Washington, DC**

Re: NOI: "Software-Enabled Consumer Products Study: Notice and Request for Public Comment," Comments of the Music Library Association.

Comments submitted by:
Tammy Ravas
Chair, Legislation Committee
Music Library Association

Dear Ms. Pallante,

The Music Library Association respectfully submits the following comments, pursuant to the Notice of Inquiry, "Software-Enabled Consumer Products Study" (Doc. 2015-6; 80 FR 77668). The MLA is the professional association for music libraries and librarianship in the United States. Founded in 1931, it has an international membership of over 800 librarians, musicians, scholars, educators, and members of the book and music trades. Complementing the Association's national and international activities are ten regional chapters that carry out its programs on the local level. The Music Library Association provides a professional forum for librarians, archivists, and others who support and preserve the world's musical heritage.

Our comments primarily address question 5 of the NOI ("Key issues in how the copyright law intersects with other areas of law in establishing how products that rely on software to function can lawfully be used,"), though, as we will explain, we take a broad view of this question.

Overview

MLA believes that the questions raised in the NOI carry implications that extend well beyond the limited sphere within which they were raised, and that the scope of the inquiry must be broadly seen in the interaction of end user licenses and copyright law, rather than narrowly in computer programs and consumer products. For this reason, our comments respond to the question of end user licenses in general, rather than specifically to the software-enabled consumer products contemplated by the NOI.

We are aware of many ways in which the uncomfortable relationship between copyright law and current models of software licensing, including that which is embedded in software for consumer products, directly affects libraries with respect

to their use and distribution of software and other products. Music libraries in particular may wish to provide access to devices with such software embedded in them, such as tablets and other e-readers, satellite-ready radios, electronic keyboards, and any number of learning devices, many of which may carry end user licenses into which libraries may not legally be able to enter. We recognize inherent problems in the application of laws to those and other consumer products considered by the NOI, such as cellphones, automobiles, and others, especially those which access the Internet.

However, we ask that the Office consider the broader implication of questions raised by the NOI, because common licensing models for software are in no way limited to software for these consumer products, or even to software on its own. Similar licensing models, including non-negotiable end user licensing agreements (EULAs) are very commonly used for electronic books, audiovisual works, digital sheet music, and digital sound recordings to name a few. Furthermore, the definition of "computer programs" leaves much room for overlap with other works. As the nature of creation expands, incorporating new technology as it becomes available, it is easy to imagine nearly every enumerated class of works in Sec. 102 to include, at least in part, a "set of statements or instructions to be used directly or indirectly in a computer in order to bring about a certain result."¹

As the NOI states, the Office noted, in the Section 104 Report, that "unilateral contractual provisions could be used to limit consumers' ability to invoke exceptions and limitations in copyright law." This has proven prophetic, and MLA members have found themselves limited in unique ways that could be a bellwether for the future of all libraries' collection efforts. MLA has raised these concerns many times with the Office, and in other fora,² and we are grateful that the Office has opened this study, since it presents an important opportunity for policymakers to confront existential threats to American libraries, and especially music libraries.

We believe that the central question—the one underlying all the questions raised in the NOI—is the extent to which non-negotiable contracts should control in situations where they interfere with user protections and rights that are a critical

¹ This has been true for most of the life of the current definition. Consider, for example the works of Deena Larson, which are archived at the Maryland Institute for Technology in the Humanities. These are unquestionably literary works, but which were written in Hypercard, an early piece of software for Apple Macintosh computers and precursor to Hypertext Transfer Protocol. As such, they are also computer programs for purposes of the Sec. 101 definition, though they were conceived for use as literary works, not as tools or games. Maryland Institute for Technology in the Humanities, "The Deena Larson Collection," University of Maryland. <http://mith.umd.edu/larsen/> [accessed 27 January 2016]; 17 U.S.C. Sec. 101.

² See for example, Music Library Association, "Music Licensing Study; Comments of the Music Library Association," Music Library Association. http://copyright.gov/policy/musiclicensingstudy/comments/Docket2014_3/Music_Library_Association_MLS_2014.pdf [accessed 27 January 2016]; Music Library Association, "Statement on Online License-Driven Music Sound Recordings," *Copyright for Music Librarians*. <http://copyright.musiclibraryassoc.org/Resources/OnlineLicensing> [accessed 27 January 27, 2016].

part of the balance Congress creates in the law of copyright. Are the Constitutional objectives of copyright (or any aspect of intellectual property law) served when other areas of law are able to create parallel systems that include all of the author protections, but none of the user protections?³ We think they are not.

Congress was given supreme power to "promote the progress of science and the useful arts." We understand that the sanctity of contracts is one of our oldest and most cherished legal doctrines, but the principle works only when the contracts are between two parties, each of which has had an opportunity to negotiate terms. Unilateral contracts, such as those in modern EULAs present an all too tempting opportunity to make an end run around copyright, one that is an abuse of the system and which trivializes Congress' authority.

Specific Issue

The NOI requests comment on the following relevant issue: "Key issues in how the copyright law intersects with other areas of law in establishing how products that rely on software to function can be lawfully used." With the Office's indulgence to interpret that question in the broad way we have described, the issue raised is directly germane to our legitimate concerns for libraries' traditional ability to collect, preserve, and make available copyrighted works. Though we have many concerns about the overuse of contracts as a means to bypass the limitations and exceptions in Title 17, our specific concern is in instances where this practice excludes valuable works from libraries entirely.

The increasingly digital nature of the creative and scientific landscape, combined with the EULA model introduced by the software industry, has resulted in an increased reliance by copyright holders on providing leased, rather than purchased content. The licenses that accompany the works are frequently more restrictive than current copyright law, specifically excluding limitations and exceptions on which libraries rely for their daily business. Though in all cases this can and does obstruct traditional library uses of electronic copies of the works, in most cases those works are available in alternate forms that allow libraries to collect and make use of the work. However, in some cases, licenses form the only way in which the works are made available. Rather than a sound recording being available on, say, both Compact Disc and through an online distribution service, these online-only recordings are available only through the latter, and under restrictive license terms.⁴

³ Eric Harbeson, "Born Digital: Works Here Today, Maybe Gone Tomorrow," District Dispatch, entry posted January 18, 2014, <http://www.districtdispatch.org/2014/01/born-digital-works-today-maybe-gone-tomorrow/> [accessed 27 January 2016].

⁴ Judy Tsou and John Vallier, "Ether Today, Gone Tomorrow: 21st Century Sound Recording Collection in Crisis." *Notes v. 72* no. 3 (March 2016): 461. The authors quote the license from Apple's music service, "iTunes": "You shall be authorized to use [the service] only for personal, noncommercial use, except as otherwise authorized by Apple.... You agree not to modify, rent, lease, loan,...works based on the iTunes Service in any manner..."

This exclusion of important works from libraries generally takes the form of two common provisions in EULAs. The first is that the license agreements are strictly between copyright holders and end users. MLA members and their counsel have consistently understood this to indicate that, since libraries are not end users, they cannot legally enter into EULAs.⁵ The second is in the specific restrictions contained within the license, normally including prohibitions on rental, lease, lending, and other functions that form the traditional core activity of a library. Under these terms, libraries lose their ability to avail themselves of rights under the first sale and fair use doctrines.⁶

Sometimes, problematic license terms come from download services, such as Apple's iTunes. In these cases, the license governs downloads that are stored on a machine indefinitely. Here, at least, libraries might be able to preserve the works, were they able to enter into the agreement. Another, more troubling, and increasingly popular model is in the distribution of works through subscription streaming services. Here, availability of works is subject to ongoing negotiations between the services and the rights holders, with the result that content can and will disappear from those services unpredictably. Unlike subscription services, the content of music library collections is driven by user need, rather than commercial considerations, and in many cases, such need is expressed years or decades after publication of the work. Because of this, libraries and archives are far more likely to preserve historically significant works that may not have obvious commercial value than are commercial entities.⁷

In some cases, extraordinary effort may result in a library's being able to acquire a license; however, this does not give us hope. A recent experience documented in an

⁵ D.J. Hoek, "The Download Dilemma," *American Libraries*, July 27, 2009, <http://www.americanlibrariesmagazine.org/article/download-dilemma> [accessed 5 October 2014]; Kevin Smith, "Planning for Musical Obsolescence," *Scholarly Communications @ Duke*, July 28, 2014, accessed October 5, 2014, <http://blogs.library.duke.edu/scholcomm/2014/07/28/planning-for-musical-obsolescence/>.

⁶ 17 U.S.C. 109(d). See also *Vernor v. Autodesk, Inc.*, 621 F.3d 1102, 2010 U.S. App. LEXIS 18957. "[The first sale doctrine] allows the 'owner of a particular copy' of a copyrighted work to sell or dispose of his copy without the copyright owner's authorization. The first sale doctrine does not apply to a person who possesses a copy of the copyrighted work without owning it, such as a licensee." (internal citations omitted)

⁷ "Today's digital formats are not inherently safe harbors of preservation. Protecting and maintaining digital audio recordings poses problems that go beyond those associated with the preservation of analog recordings... For example, successive releases of software programs may no longer be compatible with earlier files." Rob Bamberger and Sam Brylawski, *The State of Recorded Sound Preservation in the United States: A National Legacy at Risk in the Digital Age* (Washington D.C.: CLIR, 2010): 2; here is an example of lost content from a popular television show, "More than 100 installments of [Doctor Who] are still missing because the BBC did not start routinely archiving its shows until 1978." John Plunkett, "Lost Doctor Who Episodes from 1960s Returned to BBC," *Guardian*, December 12, 2011, accessed October 2014, <http://www.theguardian.com/media/2011/dec/12/lost-doctor-who-episodes-bbc>.

IMLS-funded project, undertaken by the MLA and the University of Washington (UW), shows the utter lack of tenability in relying on license negotiation as a solution. UW librarians attempted to obtain a Grammy-winning recording by the Los Angeles Philharmonic and their superstar conductor, Gustavo Dudamel, for their library. The recording was unavailable in any physical form, and available only on the iTunes service. After extensive hunting, they finally found the party that was able to grant the license, only to find that the license offered was more than \$500, was for a very limited time, and did not include even half of the work.⁸ Even if the license was for a permanent, complete copy of the recording, this price tag so far exceeded what any music collector would consider a fair price that it was laughable, and that does not even include the cost to the library for the considerable time hunting down the recording.

Whether or not libraries are able to undertake heroic efforts such as those by the UW librarians, the result is the same: works—in some cases highly significant works—are excluded from library catalogues. Music librarians are unable to legally acquire the works that their patrons may require.

Though we don't know the full extent of the problem, it appears somewhat limited in scope for the present. It is possible that this is due to market forces that are at play, as the Section 104 Report conjectured. However, despite this, there are already examples of very important works and performances—those that would normally be collected by music libraries—that have been excluded from their collections due to the terms of these license agreements. These include Oscar- and Grammy-winning recordings by important artists, such as Pixar Studios (soundtrack to the movie, "Up!"), the previously discussed Dudamel recording, and others.⁹ The MLA is concerned that the music industry (as well as other content-producing industries) is likely to move increasingly toward licenses as the dominant distribution model. Taken to the limit, a world where all works are made available only through such regimes would be disastrous for the research and creative community. Furthermore, whether or not the practice is widespread at present is immaterial. When librarians cannot legally make their selections from the totality of the available works, the important role that they play in society is severely hobbled.¹⁰

⁸ Tsou and Vallier, *supra* note 4 at 465: "UMG ... agreed to license the material ... under the following conditions: that no more than 25 percent of the album's content could be licensed, and the license would be valid for no more than two years. Furthermore, a \$250 processing fee would be charged in addition to an unspecified licensing fee that would have been "more than" the processing fee. Given that the standard cost of a complete iTunes album is \$9.99, we determined UMG's offer to be unreasonable. Perhaps more importantly, having 1.25 movements of this five-part piece is useless to a library or user. We attempted to further negotiate with UMG, but our efforts were rejected."

⁹ "Statement on Online License-Driven Music Sound Recordings," *supra* note 2.

¹⁰ *Id.*

Keeping works out of the hands of libraries through the use of EULAs presents enormous risks to our cultural heritage, as libraries and archives are the means through which that heritage is preserved.

Proposed solution

We believe legislation is appropriate and needed. To solve the problem, such legislation must, at a minimum, allow libraries and archives to:

1. Acquire works at a reasonable price;
2. Store and preserve these works locally; and
3. Serve these works to their patrons.¹¹

There are multiple ways in which this could be accomplished with legislation. We note that the United Kingdom has already taken the step to make certain exceptions to their copyright law not subject to contractual override.¹² This is not our preferred solution, since this model raises Constitutional risks, as well as questions about the ability of libraries and archives to tailor donor agreements with protections that help assure potential donors in the use of their materials by the receiving institution. We favor a more narrowly focused solution that eliminates the risk of litigation for libraries, in limited circumstances.

To that end, we propose the following language, to be added as a new section of Title 17, Chapter 5:

- (a) No action may be brought in a state or federal court for a violation of a non-negotiable license committed by a non-profit library, archives, or museum, or any employee thereof acting within the scope of his or her employment, when:
 - (1) the violation occurs directly from the acquisition of content for the institution's normal collection-building, educational, preservation, or lending purposes; and
 - (2) the violation results directly from license text that would otherwise prevent the institution from carrying out one or more of those functions; and
 - (3) the employee has determined, after a reasonable search, that the content is not available in physical form for a reasonable price.
- (b) Nothing in this section shall be interpreted to immunize the library, archives, or museum, or its employees, from any infringement defined under other sections of this title, or to in any way affect the limitations and exceptions provided by Sections 107-122.

¹¹ id.

¹² See for example, *Copyright Designs and Patents Act*, 1988, S.I. 2014/1372 reg. 3(1)(e), Sec. 29(4B): "To the extent that a term of any contract purports to prevent or restrict the doing of any act which, by virtue of this section, would not infringe copyright, that term is unenforceable."

We believe that this proposal would sidestep the significant potential Constitutional conflicts by avoiding direct interference with private contracts. Instead, our proposal would remove the ability of courts to entertain lawsuits in very specific circumstances, without invalidating a contract, without removing any of the potential liability that the library or archives may incur for copyright infringement, and without removing any rights or privileges copyright holders enjoy under the Act and under international law.